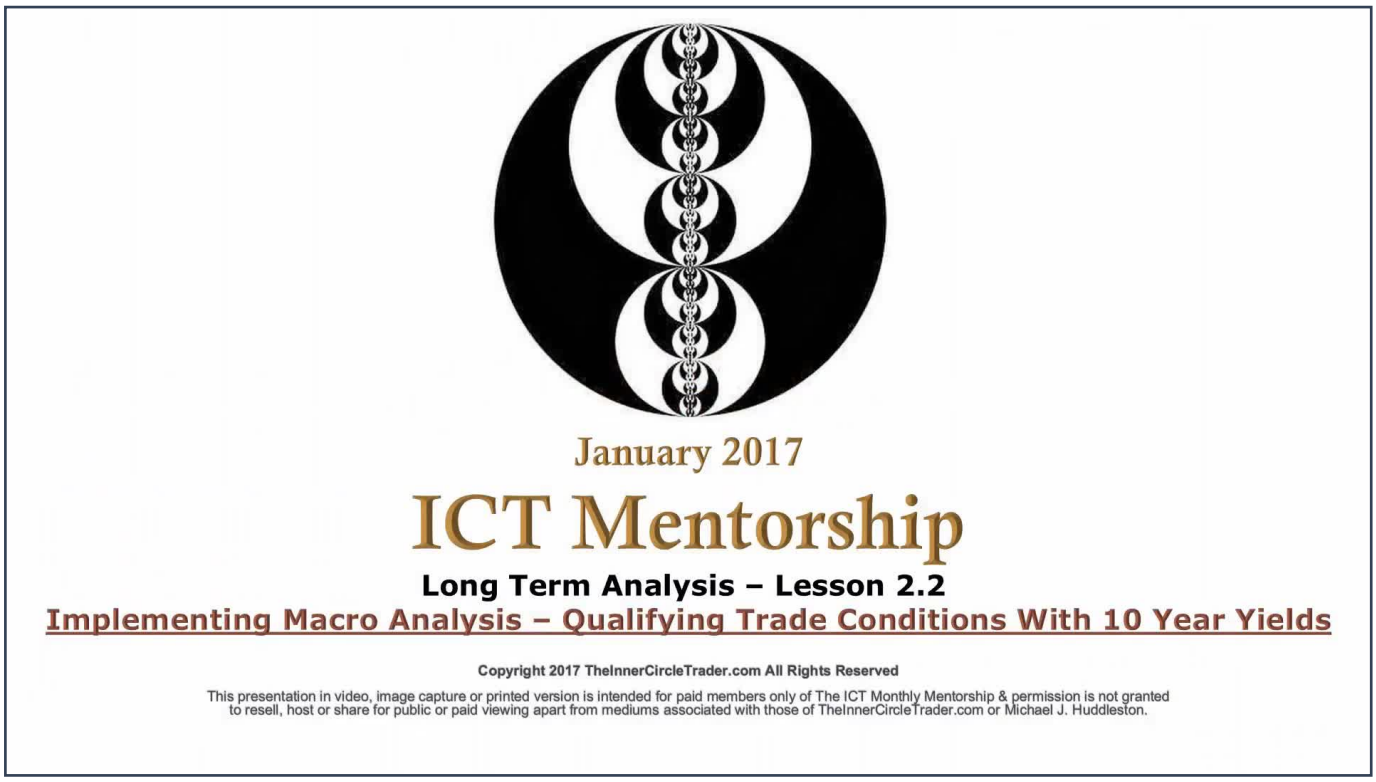
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - QUALIFYING TRADE CONDITIONS WITH 10 YEAR YIELDS



Welcome back folks. This is lesson 2.2 of the January 2017 ICT mentorship. We're gonna be looking at qualifying trade conditions with the 10-year yields.

10-YEAR NOTE SEASONAL TENDENCY AND JUNE 2015 EXAMPLE

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Okay, the previous teaching 2.1 we had looked at the 10-year note seasonal tenancy where it has a strong tendency to rally in June. And we're looking at the 10-year note for September 2015 here. You can see how during the month of June of 2015, the 10-year note did in fact make a low in June.

QUALIFYING SWINGS WITH DOLLAR INDEX FOR 2015 EXAMPLE

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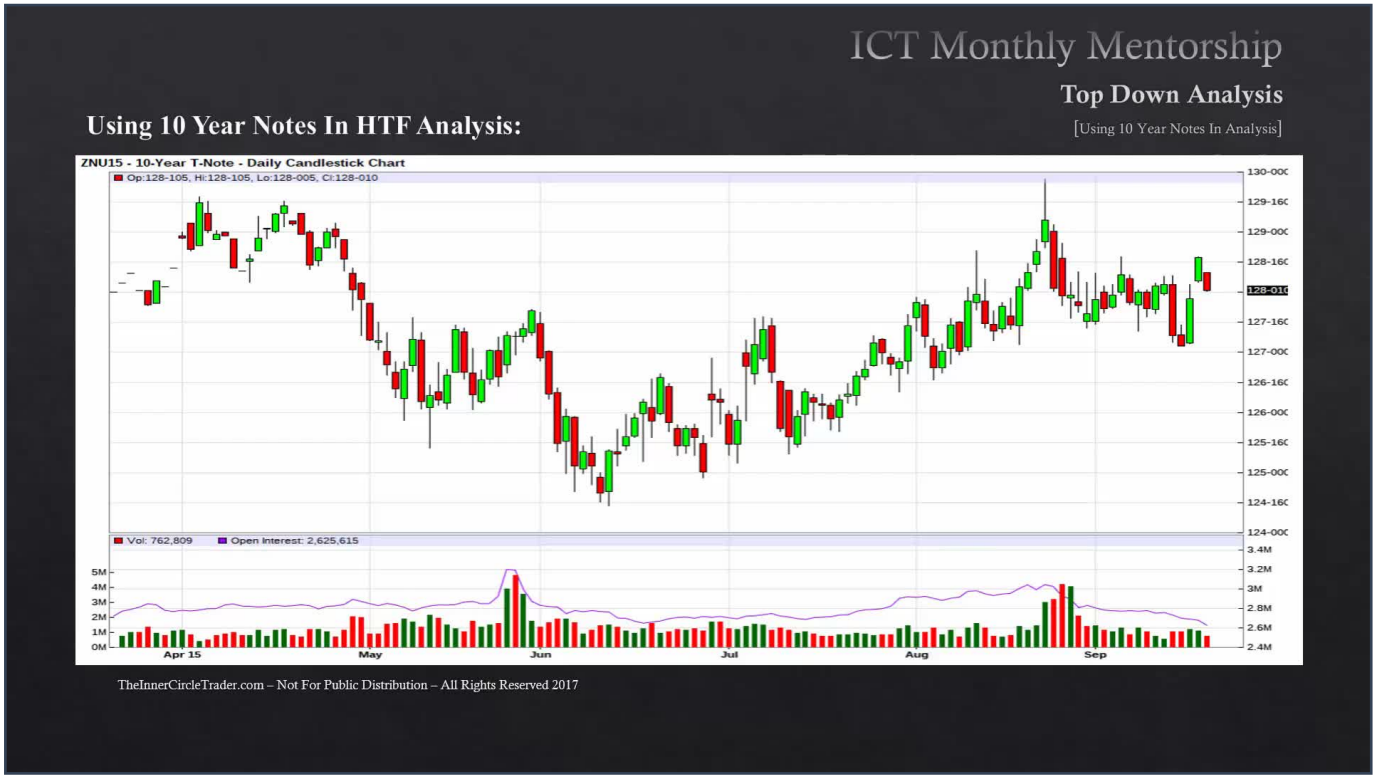
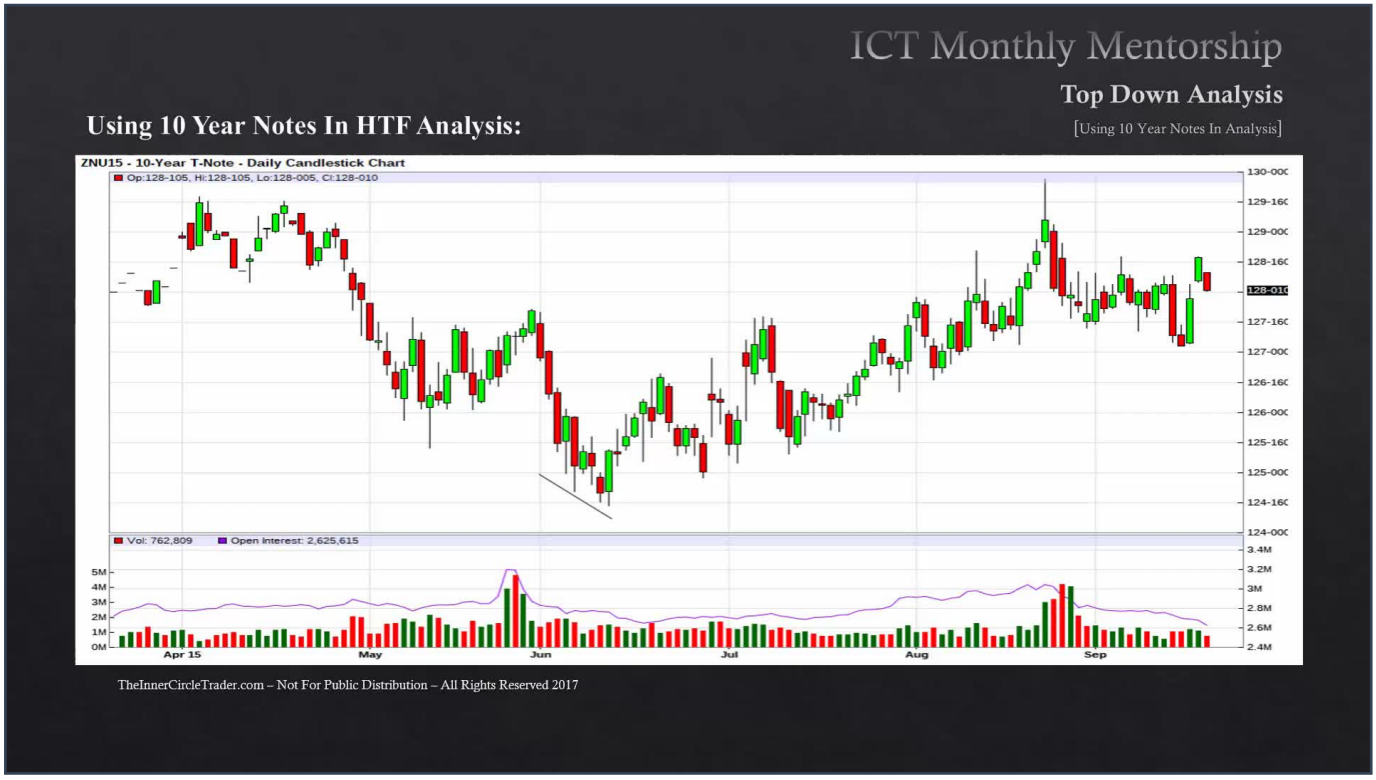


And while the seasonal tendency is in force, how do you know the seasonal tendency is most likely going to occur? Well, the first step is you want to start looking to qualify the swings in relationship to the Dollar Index, and that's seen by looking at these lower lows here. So our delineation begins at the beginning of June 2015 and subsequent lower lows.



It transpired after June 2015 began. We started seeing a slide in price and took out the low from May. But individually there was five to six different candles that progressively kept making lower lows in the first half of June, that's being delineated here by this short little trend line. Now in the Dollar Index this is going to be ideally seen with a series of higher highs, that's how Market symmetry should be posted and delivered in price.

ACTUAL DOLLAR INDEX ACTION AND CRACK IN CORRELATION (JUNE 2015)

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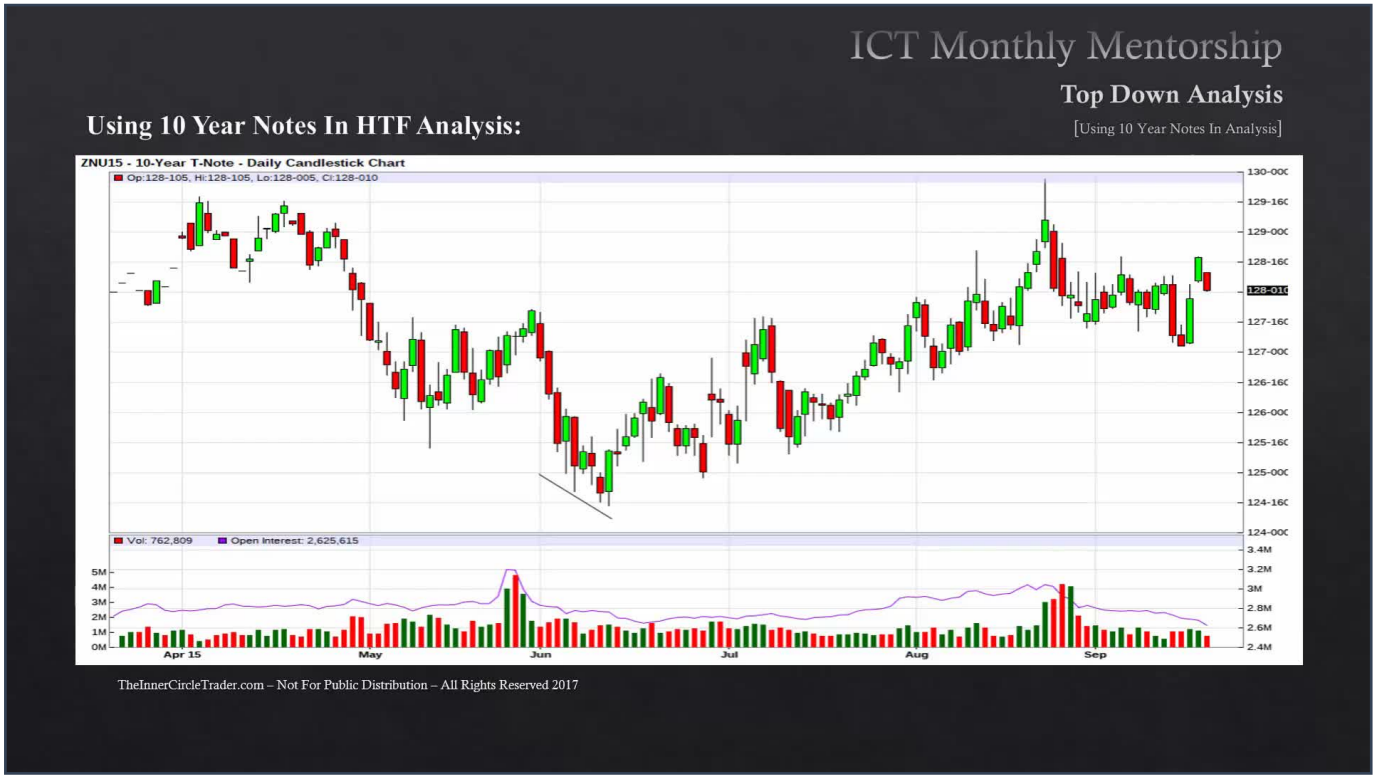

But let's take a look at what actually happens in the Dollar Index at that same moment. We can see that the Dollar Index for June 2015, immediately to the right or after June 1st trading day, we were making lower highs.

TRADE IDEA CONFIRMATION VIA INTEREST RATE DECLINE (JUNE 2015)

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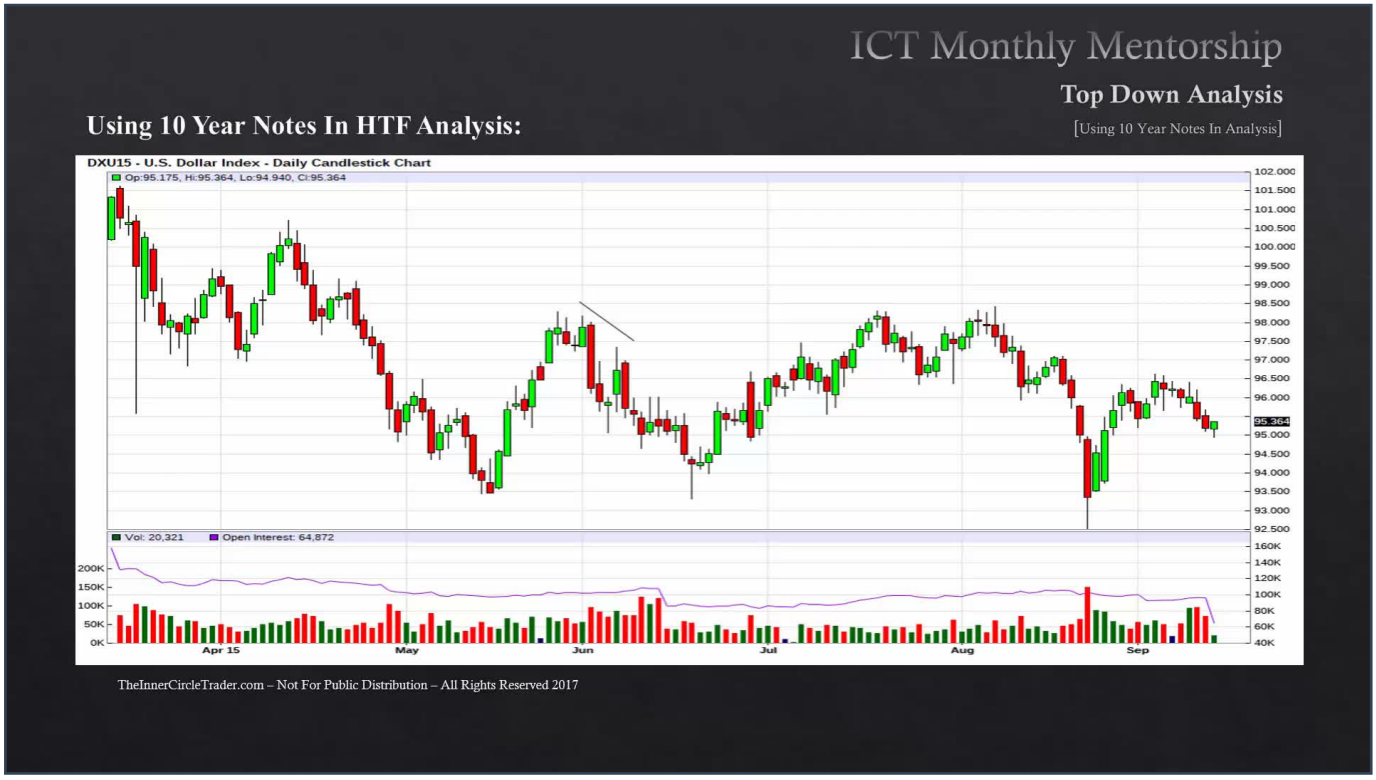
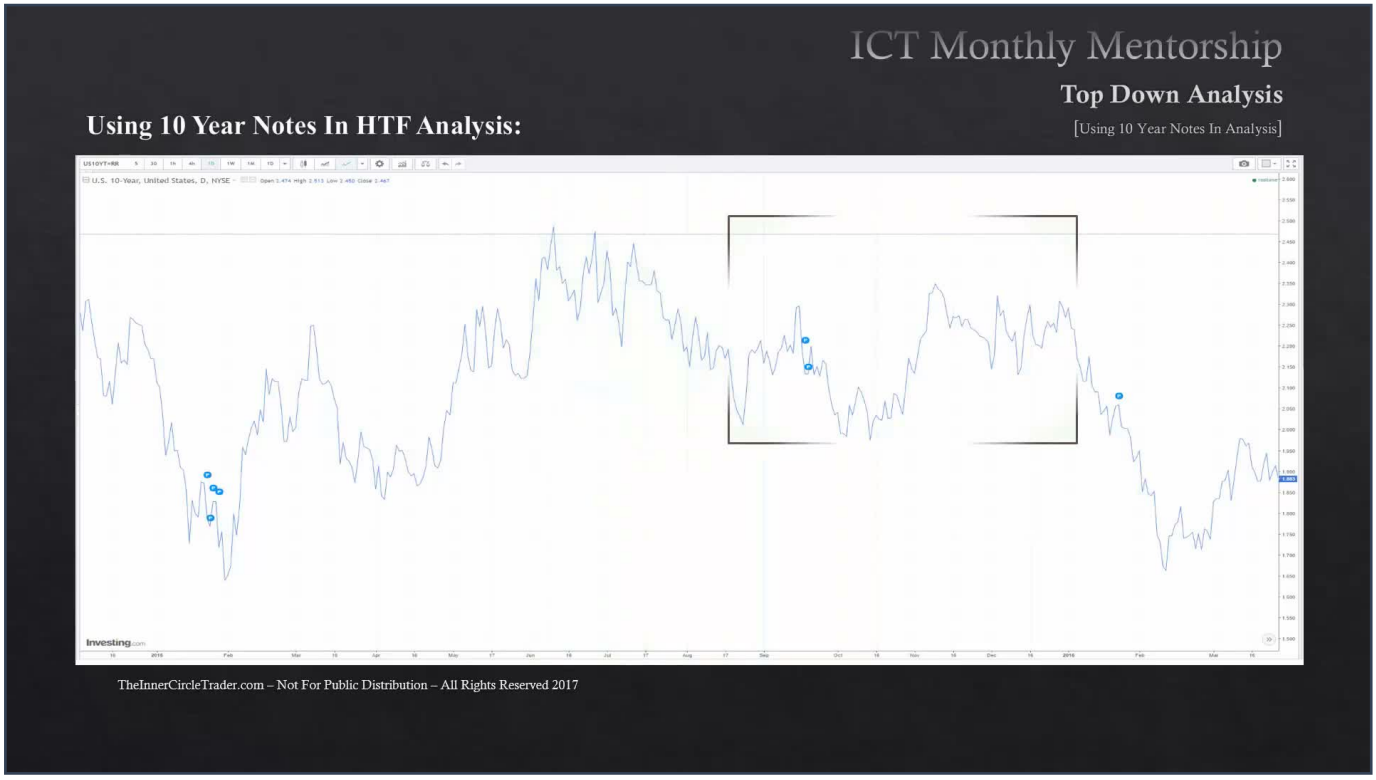
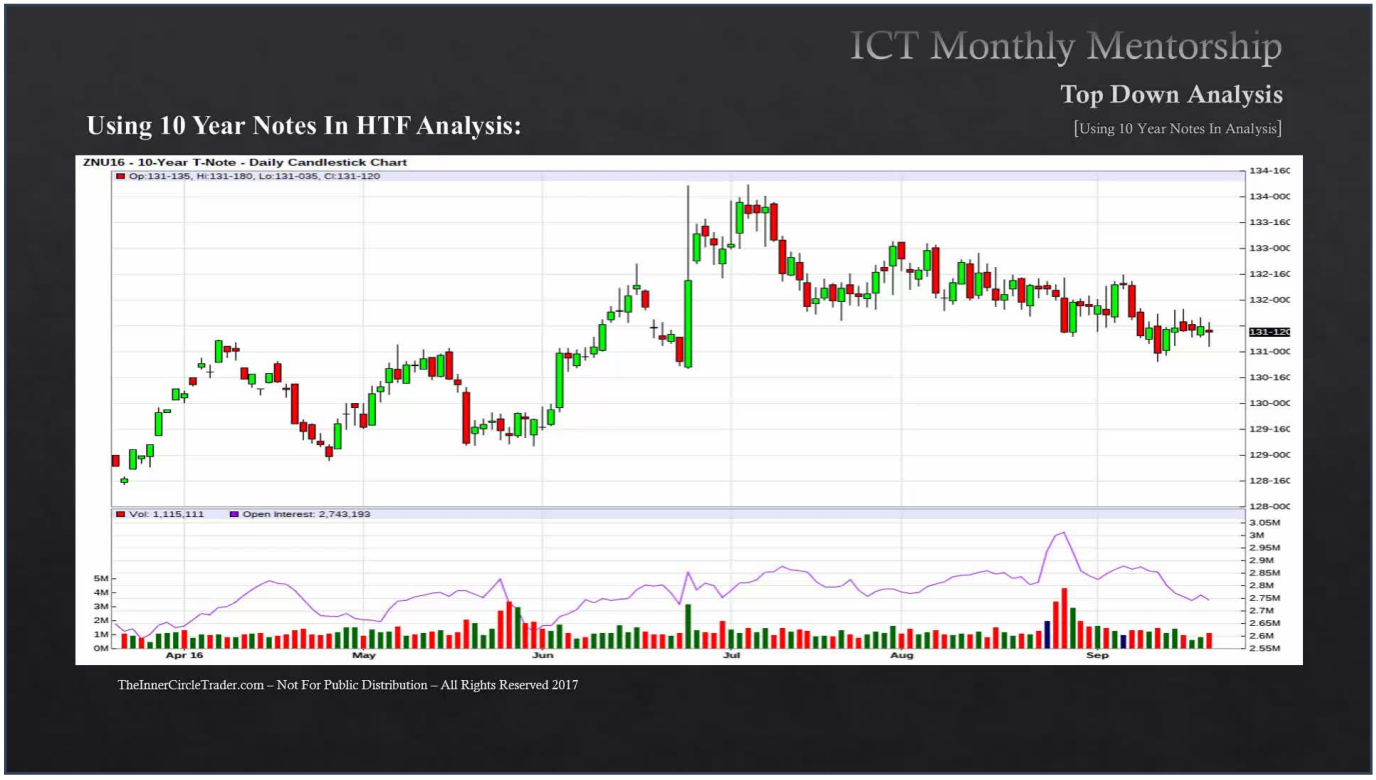


So this is a crack in correlation, and we have confirmation now there is a trade idea unfolding in the 10-year Treasury Note against the Dollar Index. It's further confirmed by seeing the interest rate Market declining at that time. As the yield declines the Futures price on a 10-year note was actually rallying.



Note also did the consolidation that the yield stayed in, which also led to a consolidation in Dollar Index, 10-year Treasury and foreign currencies at the same time in 2015.



Okay, we're looking at the June of 2016. Again, we're looking at that seasonal tenancy. As seen here, the market was making equal lows, so they should be seen in respect to the Dollar Index with equal highs.

DOLLAR INDEX HIGHER HIGHS AND DIVERGENCE (JUNE 2016)

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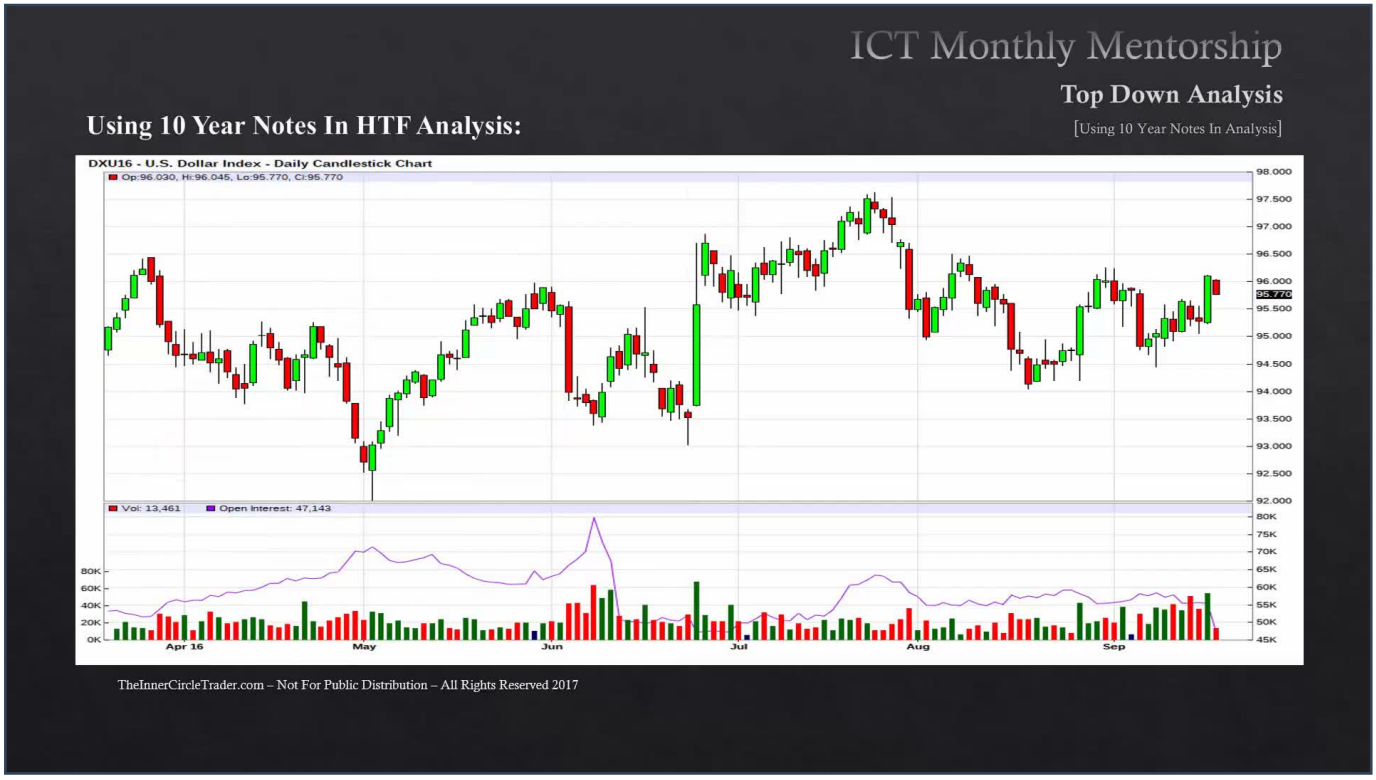
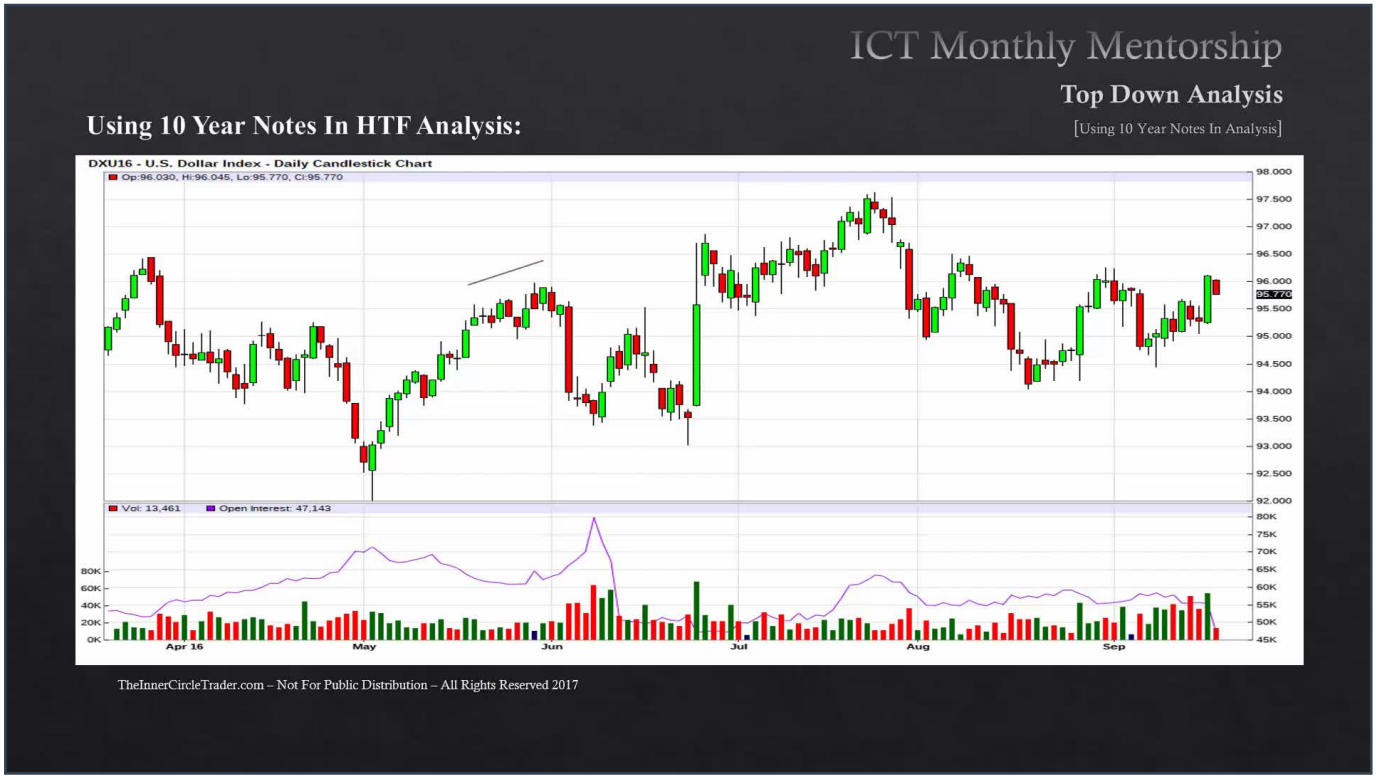
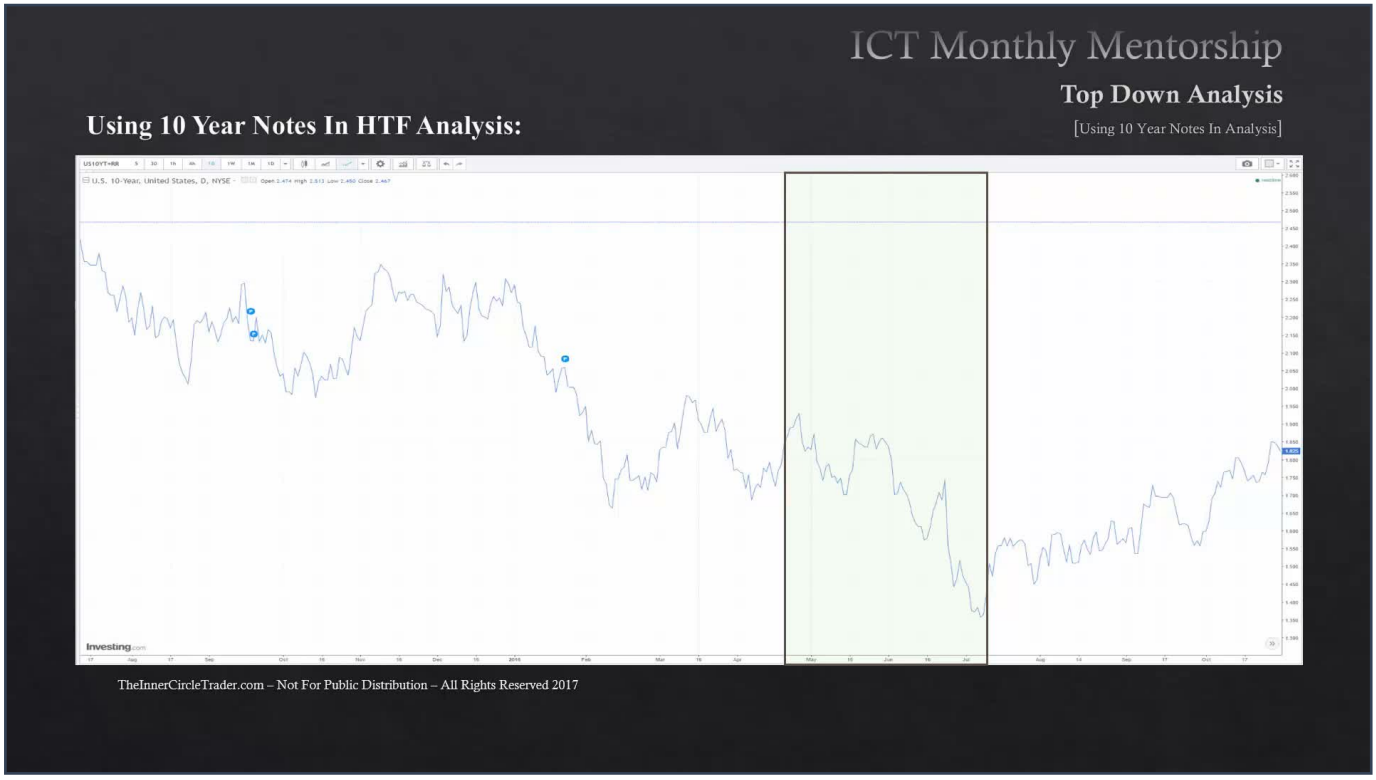


Here's the Dollar Index going into June 2016. Did you see here the market made higher highs? This is a crack in correlation. The Market's shown a willingness to go higher in the Dollar Index but it was not seen in the form of going lower on the 10-year notes.



That's a crack correlation there. Therefore it is a qualifying condition. There is an underlying trade underway. This is further confirmed by visually seeing the interest rate Market seeing it decline in the 10-year yields.



Again, notice the consolidation. While it looks like if you zoomed in really tight it would look like an uptrend, but we're still in a rather large consolidation. And that is attributing factors to why the currency markets had a consolidation this period of time.

10-YEAR TREASURY NOTE MARCH 2017 - LOWER HIGH

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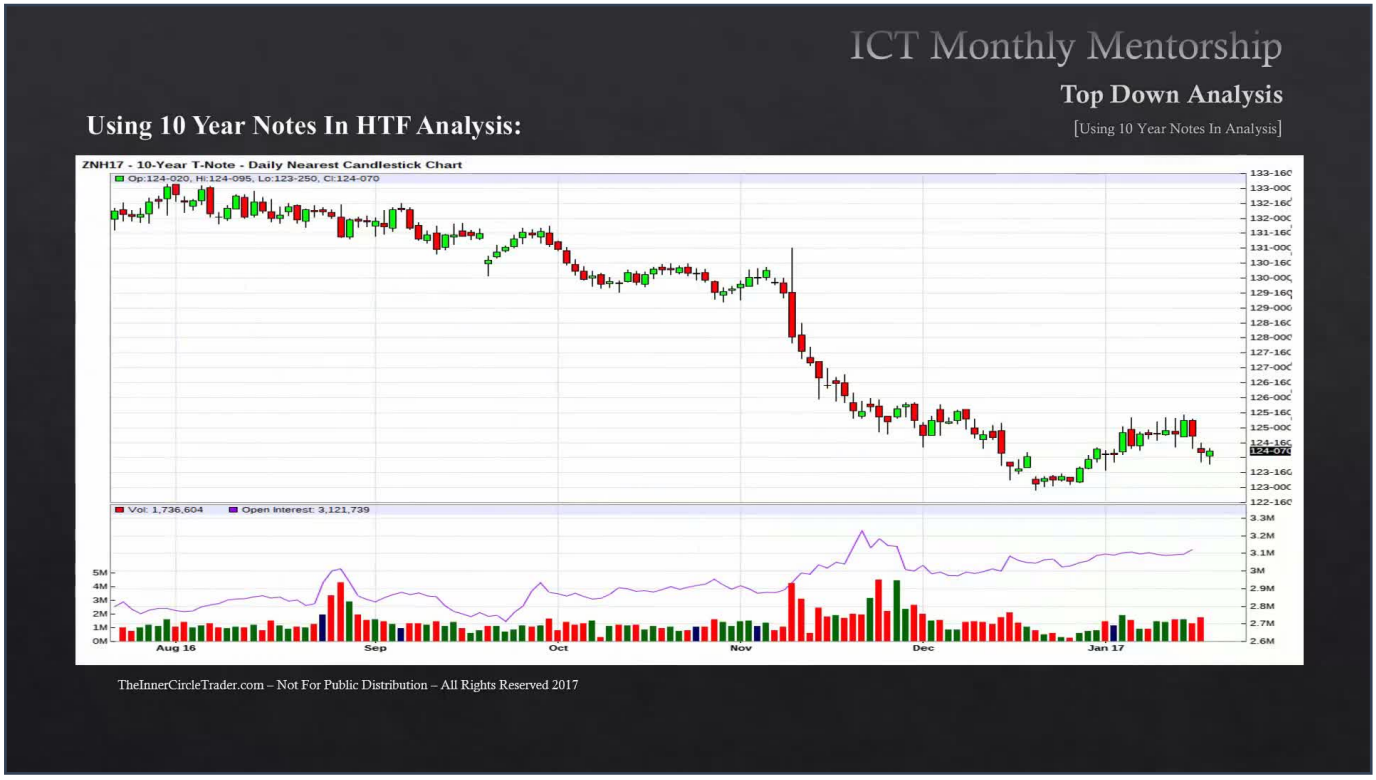
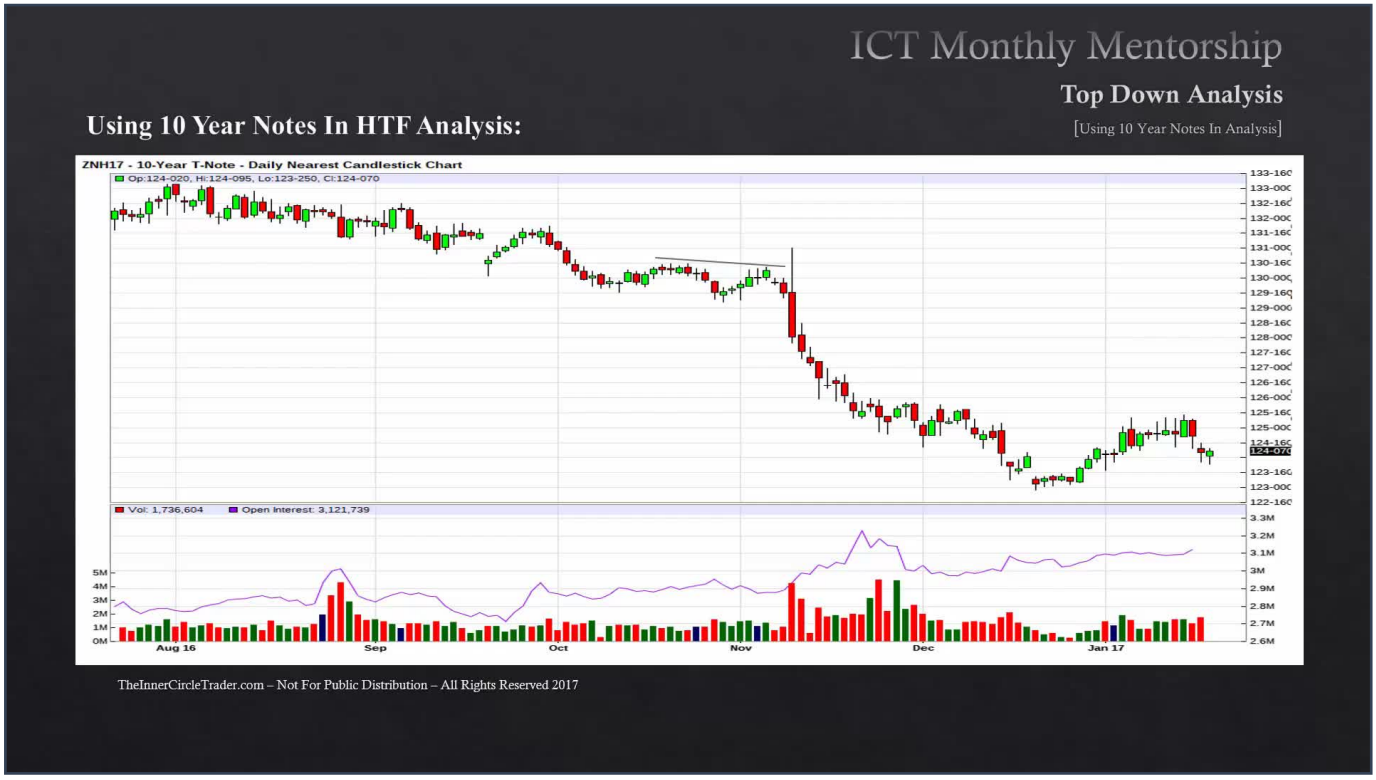
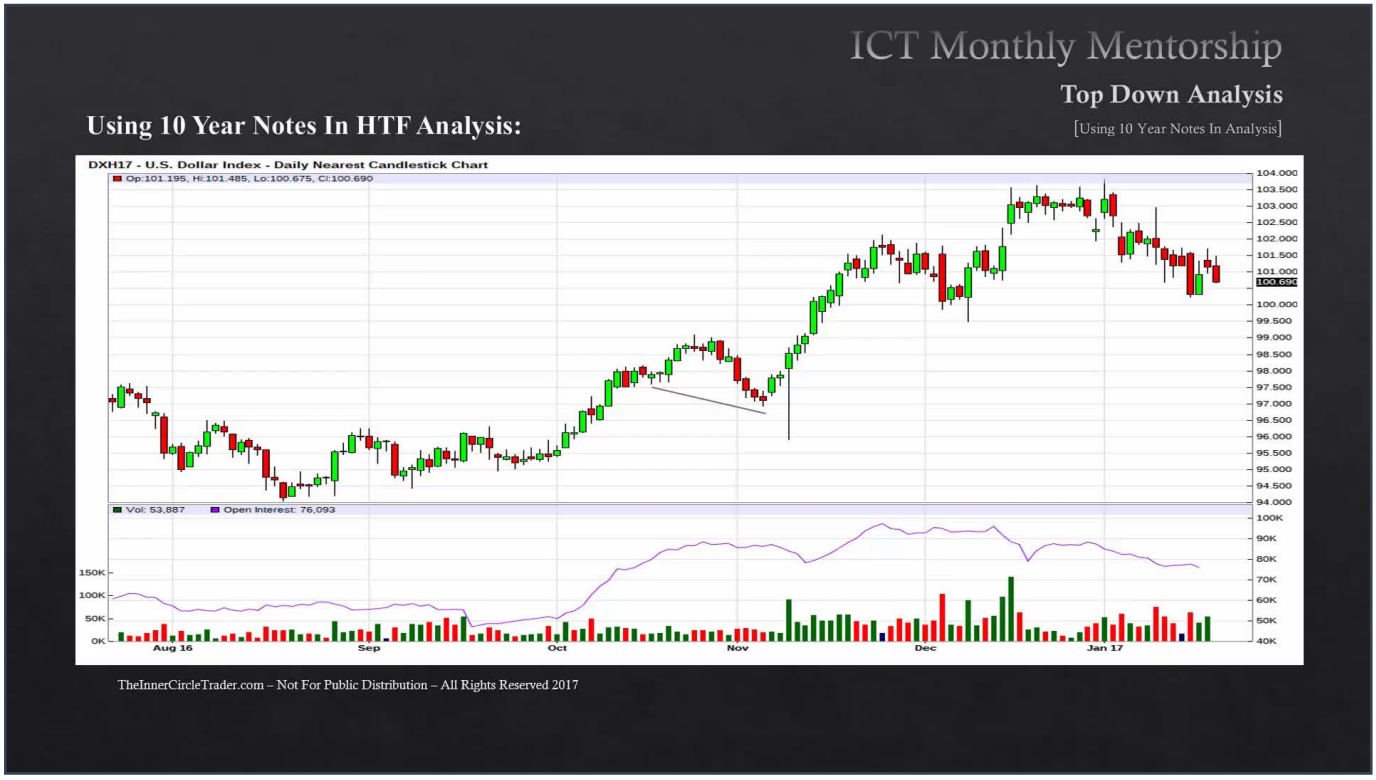


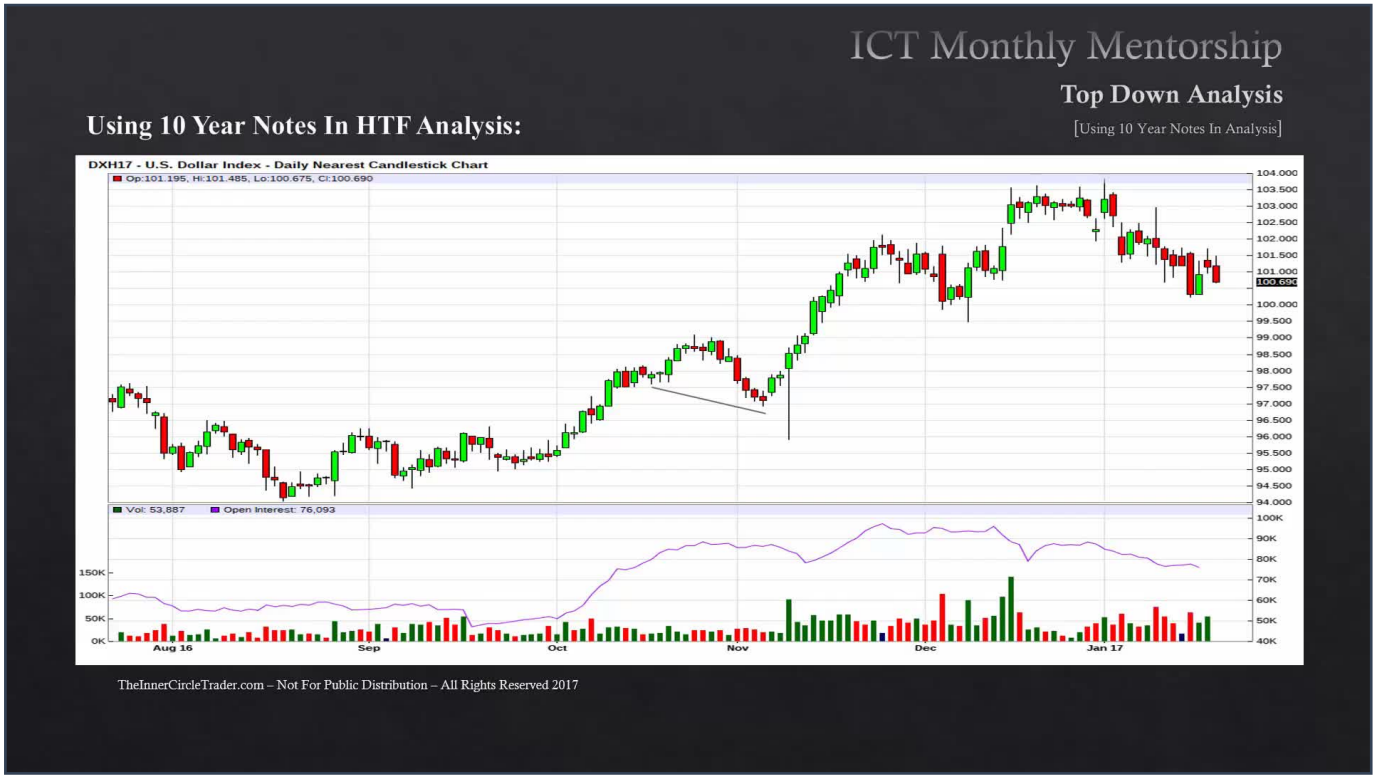
Lastly, we have the 10-year Treasury Note March contract 2017. We have a lower high. Now I know you're looking at that big wick on the elections, but just dispel that for a moment.



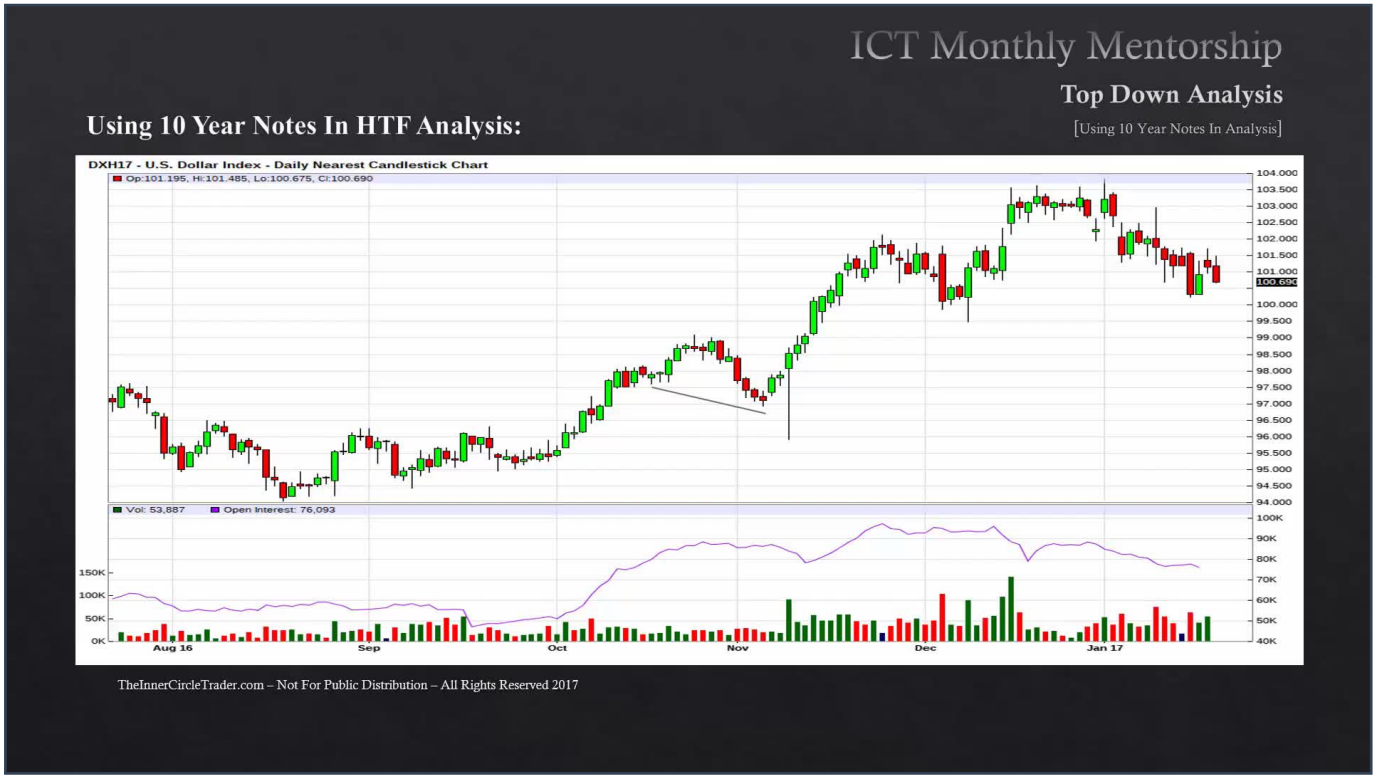
Focus on the market structure alone. Without that wick, we have a lower high formed in the first couple days of November relative to the mid-October highs. So that should be seen supported in the Dollar Index as well, just contrary. In fact, we see a lower low.



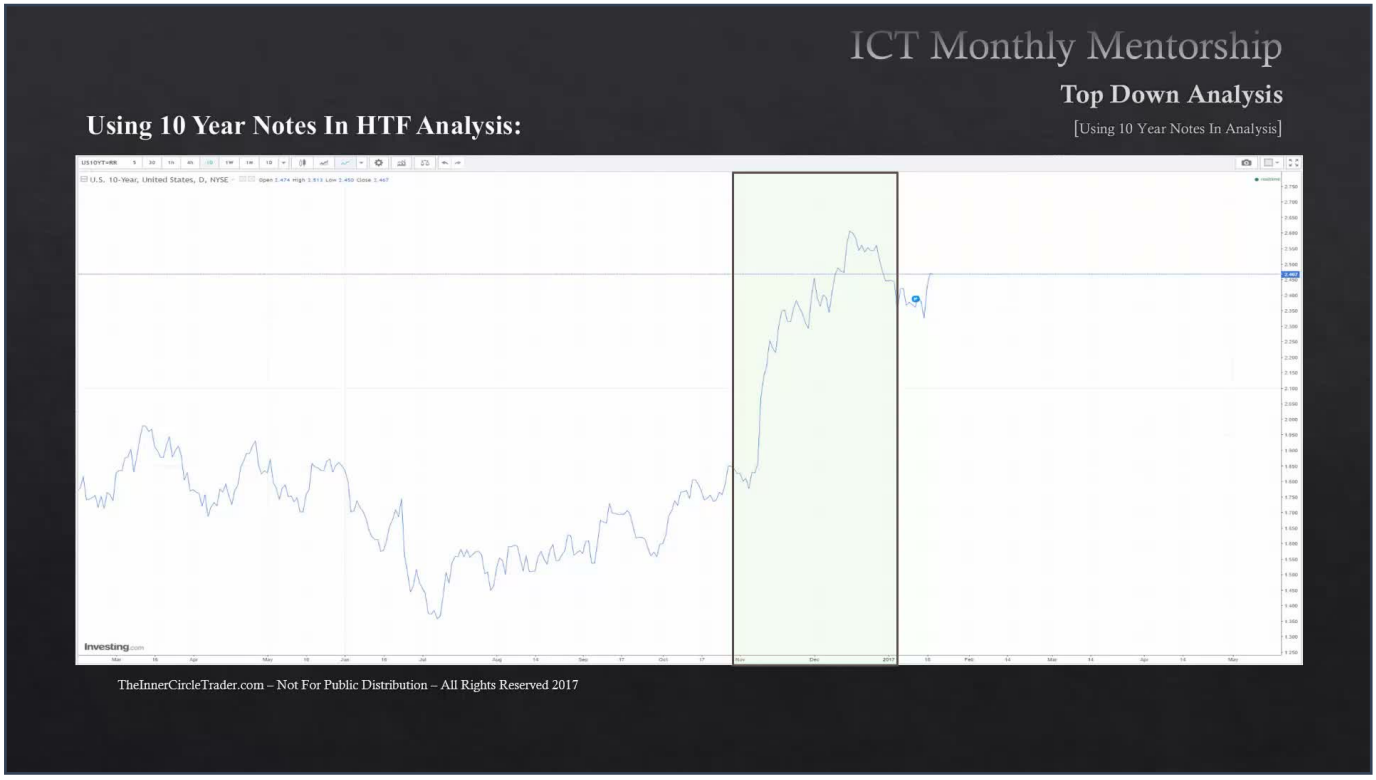
So for the Dollar Index to have a lower low here, we should have seen a higher high form in the 10-year note. That didn't happen. We see the opposite with a lower low in Dollar Index. We don't see the higher high in 10-year Treasury Notes as you would expect to see with the lower low in Dollar Index.



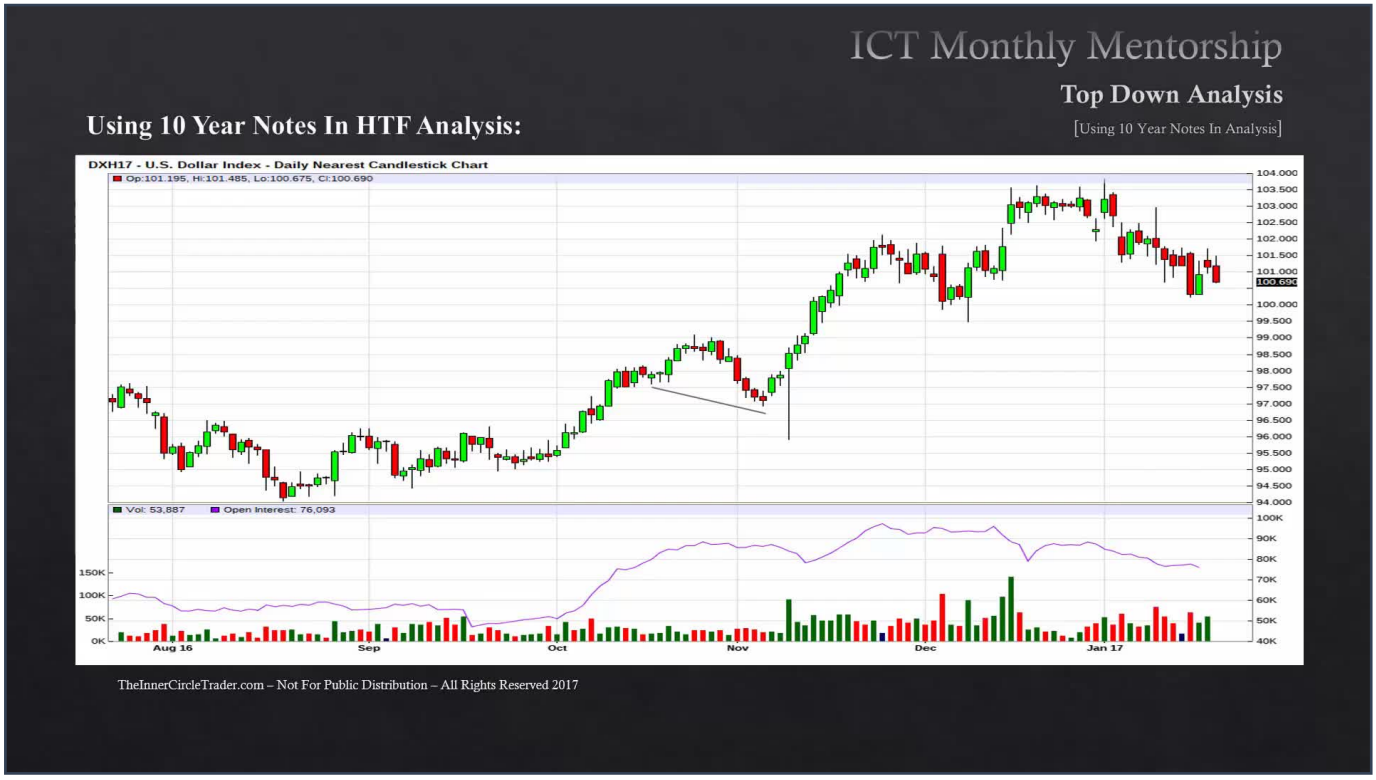
Again, it's going to be a mirror image of everything you see for perfect symmetry. When that symmetry is broken, it indicates there is an underlying trend or manipulation otherwise.



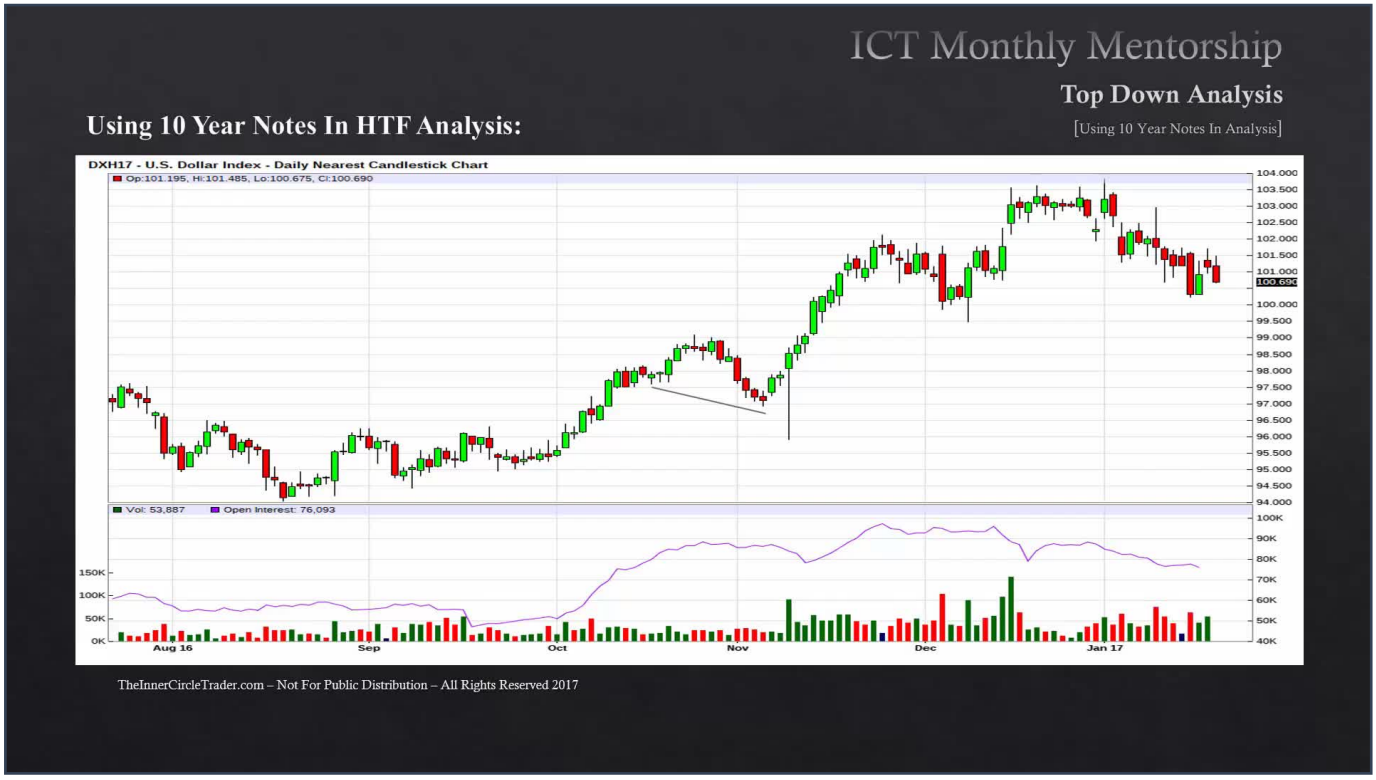
You can also see the open interest decline in November supporting the idea that there was short covering by the smart money, and the Dollar Index moved up as a result. Again, because the 10-year note was in a move that was trending it had more range to go lower, that supports the trending move on a Dollar Index where I was allowed to trade for two complete months. And you can see it's supported with the increase in the interest rate yield on the 10-year note during that time when the dollar rallied.



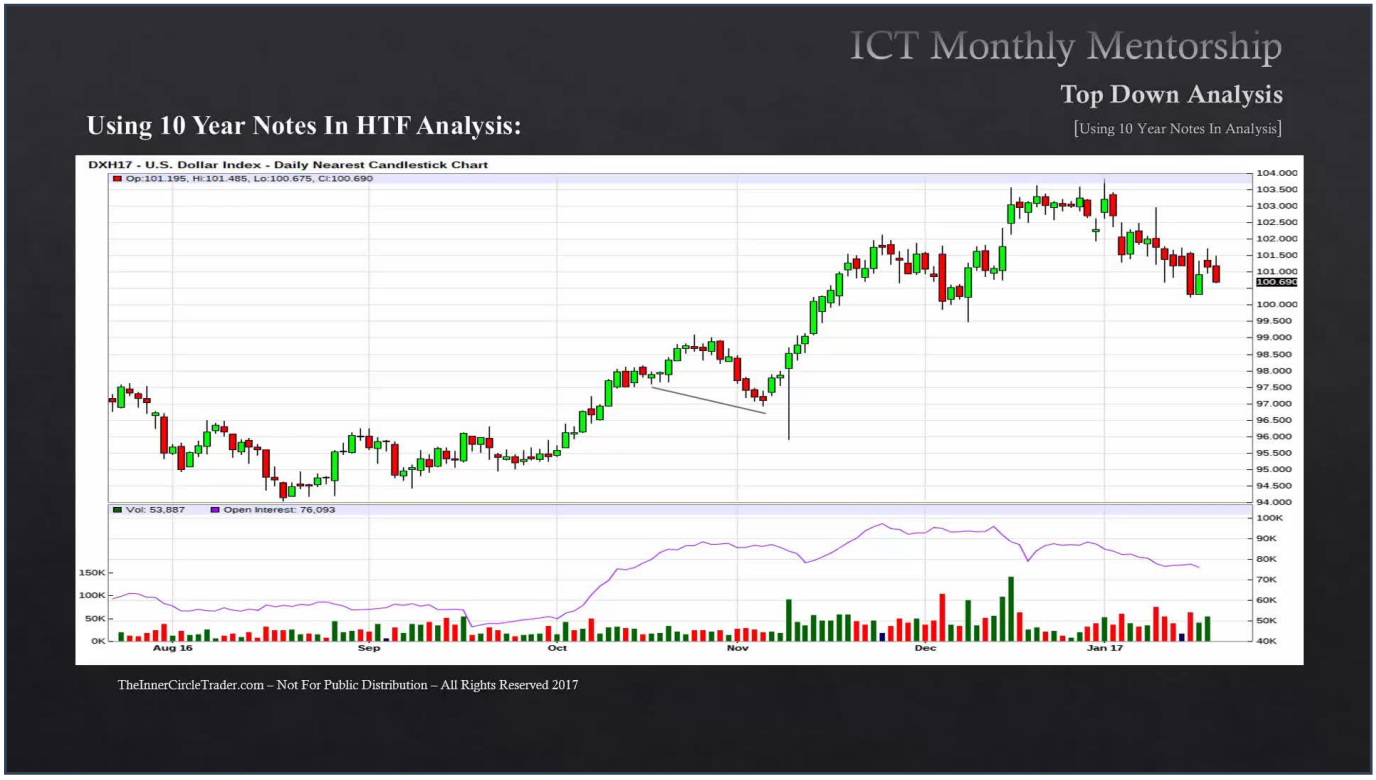
Markets seek yield and if the interest rate's increasing, therefore the dollar has a strong tendency to rally as well. Now as a side note, when we see these things occurring in the price, you want to be blending these ideas with the Quarterly Shift Concepts that's been taught in this month's content.



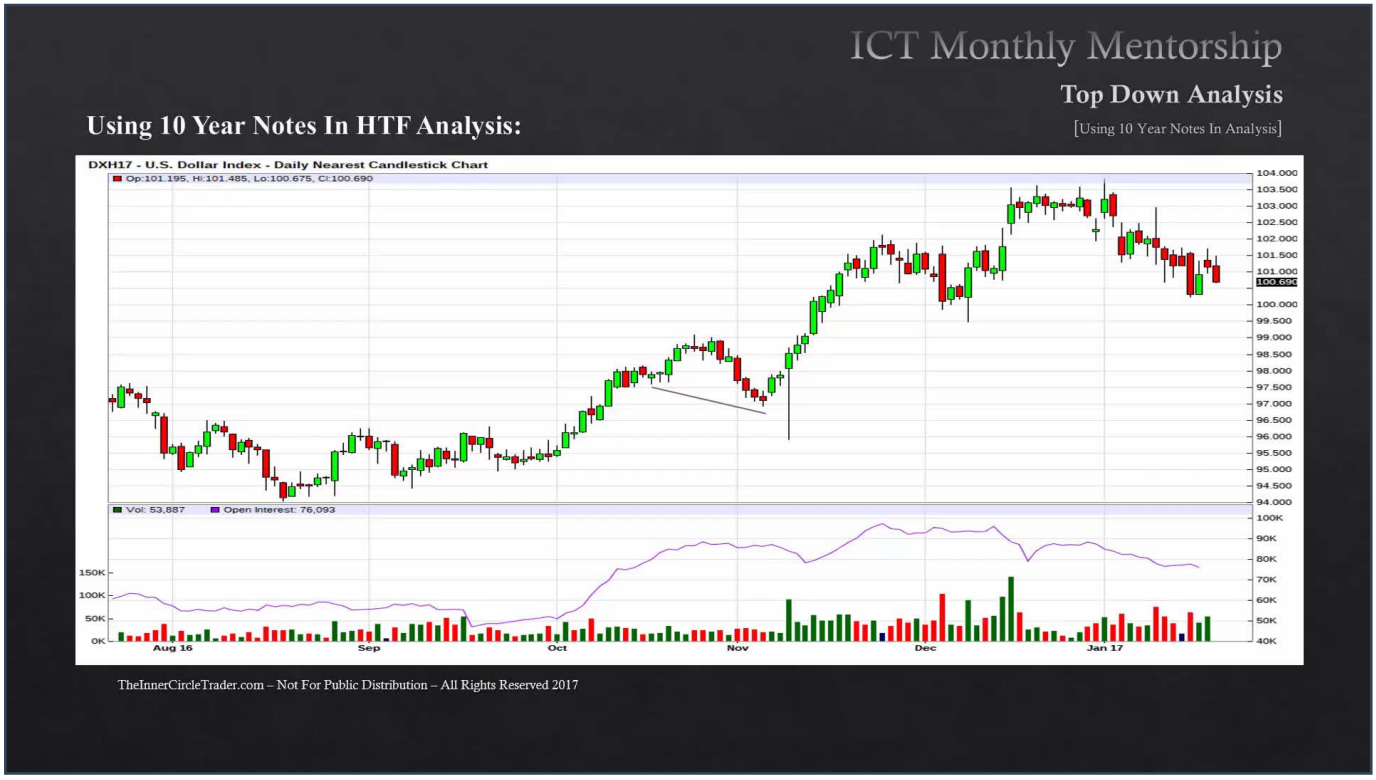
So if we're looking for the next three to four months potential next swing, not that we're holding for that period of time, or our time Horizon is three months out. Generally it's going to be half that time frame for the trade setups to come to fruition and complete.



Sometimes the trades will last longer and go a full duration of three months and sometimes a little bit longer. But as I mentioned in this mentorship, my time Horizon is about three months. I think it's pretty much realistic as you're gonna get because long-term trends, while they all generally stay in the long-term trending environment, they can reverse. And if it's in a long-term uptrend you don't want to be trying to pick the top. So it's important that I remind you every time we talk about this that my focus primarily is looking at a time Horizon of three months with the expectation I'm going to trade with a position that may go up to three months, but rarely admittedly I don't hold that long, usually half that time frame.



But you can go in and look at these times when the seasonal will align, and there are qualifying SMT divergences between the Dollar Index and the 10-year note. When they have that pattern there you can also qualify it with an interest rate Triad. Or you can go into a Forex currency pair and look for the SMT Divergence against the Dollar Index that way. Those ideas blended together, not that you need both of them, but one of them will give you a qualification for a trade idea that may be unfolding for a quarterly shift.



By getting in sync with the marketplace like this and viewing a higher time frame charts with these tools in alignment, it gives your trades a high probability and it filters out a lot of the noise. And even if you don't trade in a long-term position capacity, you can use these ideas to get in sync with higher time frame Trend or higher time frame order flow. And by doing that, it puts all your swing trade, short-term trade, day trade, and Scouts in line with institutional workflow. And with that, it's very hard to go wrong. Not perfect, it doesn't negate the opportunity for you to lose money, but it certainly does put the odds in your favor. Until next time, I wish you good luck and good trading.